Average Cost Per Air Freight Shipment
$343.02$440.72$690.30$617.39$441.13$440.43$503.78$433.02$402.11$442.82$593.04$337.02$282.12$389.04$313.67$349.82$101.84 $80.12 $108.46 $430.57$253.19 $267.67 $231.48 $108.98 $94.19 $88.44 $90.94 $50.56 $49.45 $83.40 $149.45 $73.25 $68.89 $379.72 $0 $250 $500 $750 $1,000 $1,250 OctNovDecJanFebMarAprMayJunJulAugSepOctNovDecJanFebAir Fuel
Average Cost Per LTL Shipment
$146.06$122.62$154.69$134.85$137.15$123.69$116.23$107.60$108.90$103.55$107.64$113.38$117.19$118.60$152.61$142.67$24.20 $24.19 $15.82 $15.23 $11.62 $11.58 $11.84 $11.71 $14.38 $14.72 $15.18 $16.57 $20.13 $17.43 $127.47$14.04 $13.21 $20.06 $0 $25 $50 $75 $100 $125 $150 $175 $200 OctDecFebAprJunAugOctDecFebLTL Fuel
SCS Managed Shipment Volumes YOY 0 500 1,000 1,500 2,000 2,500 3,000 3,500 4,000 4,500 5,000 5,500 6,000 6,500 7,000 2010 sm pkg shipments 5319 4822 2010 TL shipments 22 16 2010 LTL shipments 1744 1336 2010 Air shipments 56 85 Jan Feb Mar Apr May Jun Jul Aug Sept Oct Nov Dec
0 25 50 75 100 125 150 175 200 225 250 275 300 325 350 375 400 Next Day 24 17 11.9 19 24 16 11 35 25 15 16 17 21 22 2 Day 15 20 17.2 25 17 16 16 20 17 35 16 17 13 22 Ground 16 16 15.9 16 16 15 15 13 15 16 15 14 15 16 100 Weight 209 233 280.5 270 286 279 326 300 265 269 260 284 311 235 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb
0 3 0 0 0 0 0 0 99.81% 100.00% 100.00% 100.00% 0 0.5 1 1.5 2 2.5 3 3.5 Dayton Conway Roadway UPS 95.00% 95.50% 96.00% 96.50% 97.00% 97.50% 98.00% 98.50% 99.00% 99.50% 100.00% Damage Shortage % EFF
$0.00 $0.50 $1.00 $1.50 $2.00 $2.50 $3.00 $3.50 Next Day Air $1.84 $2.10 $2.67 $2.09 $1.69 $1.81 $2.50 $1.52 $1.53 $1.83 $1.81 $2.26 1.75 1.93 2 Day Air $1.10 $1.00 $1.04 $1.01 $0.97 $0.92 $0.95 $0.92 $0.93 $1.05 $1.06 $0.97 1.07 0.96 Ground $0.42 $0.42 $0.43 $0.41 $0.41 $0.44 $0.42 $0.45 $0.43 $0.42 $0.43 $0.47 0.44 0.43 100 Weight $0.79 $0.30 $0.33 $0.26 $0.30 $0.30 $0.41 $0.41 $0.32 $0.36 $0.42 $0.40 0.3 0.29 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb
$0.00 $0.25 $0.50 $0.75 $1.00 $1.25 $1.50 $1.75 $2.00 TL $0.14 $0.06 $0.07 $0.05 $0.05 $0.05 $0.05 $0.04 $0.05 $0.04 $0.05 $0.04 0.08 0.11 NCS $0.14 $0.15 $0.17 $0.16 $0.17 $0.20 $0.19 $0.18 $0.19 $0.18 $0.21 $0.17 0.19 0.18 LTL $0.20 $0.19 $0.21 $0.20 $0.20 $0.21 $0.20 $0.20 $0.22 $0.21 $0.21 $0.21 0.31 0.27 Air $0.99 $0.91 $0.87 $0.81 $0.84 $1.25 $1.27 $0.60 $1.06 $1.17 $1.11 $1.00 1.12 0.96 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb
Average Cost Per NCS Shipment
$144.96$146.28$120.26$101.62$86.23$89.43$97.50$92.29$105.44$96.51$122.39$101.12$113.03$15.93 $24.75 $11.32 $11.61 $10.32 $9.11 $9.45 $13.76 $12.85 $17.83 $14.23 $16.78 $115.58$12.09 $12.78 $0 $25 $50 $75 $100 $125 $150 $175 $200 OctDecFebAprJunAugOctDecFebNCS Fuel
All Carriers On-Time Delivery Performance (LTL) 99.3% 98.9% 98.9% 97.0% 85.0% 88.0% 91.0% 94.0% 97.0% 100.0% Q1 '09 Q2 '09 Q3 '09 Q4 '09 Actual Goal
20.50%0.00%18.79%0.00%12.97%0.00%10.49%7.77%9.99%9.43%8.60%7.30%8.30%8.00%9.20%8.80%9.80%9.50%11.60%11.30% 11.00%10.00%11.50%12.60%11.00%14.00%12.00%14.00%12.00%15.00%11.00%11.00%11.00%10.00%0.00% 5.00% 10.00% 15.00% 20.00% 25.00% Oct Nov Dec Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb FSC as % of Total Spend LTL TL On-Time Delivery Performance by Carrier For Feb 100.00% 98.20% 90.0% 92.0% 94.0% 96.0% 98.0% 100.0% Conway Pegasus YRC UPS 90% 92% 94% 96% 98% 100%
Average Cost Per TL Shipment
$0.00$0.00$0.00$772.50$972.95$870.76$615.28$627.81$595.18$621.84$565.35$593.37$635.06$623.93$1,051.96$1,299.22$65.08 $101.28 $68.24 $51.87 $59.29 $66.11 $75.86 $75.22 $81.65 $97.54 $105.00 $111.67 $133.20 $139.78 $597.38$0 $100 $200 $300 $400 $500 $600 $700 $800 $900 $1,000 $1,100 $1,200 $1,300 $1,400 $1,500
OctNovDecJanFebMarAprMayJunJulAugSepOctNovDecJanFebTL Fuel
Monthly Audit Savings $524.47$96.30$41,116.60$6,590.33$2,651.78$1,471.23$625.04$3,754.47$530.92$845.71$1,243.81$1,844.45- $500 $1,500 $3,500 $5,500 $7,500 $9,500 $11,500 $13,500 $15,500 $17,500 $19,500 $21,500 $23,500 $25,500 $27,500 $29,500 $31,500 $33,500 $35,500 $37,500 $39,500 $41,500 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Freight
OTC vs. RX (Lines) 3,803 3,852 2,913 4,247 3,358 4,188 4,278 3,719 5,495 4,837 4,404 5,230 17,110 20,264 19,607 18,502 16,370 16,961 17,930 16,223 15,956 13,470 16,371 16,660 0 2,000 4,000 6,000 8,000 10,000 12,000 14,000 16,000 18,000 20,000 22,000 MarAprMayJunJulAugSepOctNovDecJanFebOTC Lines RX Lines

Dimensional Weight Guidelines
0 200 400 600 800 1000 1200 1400 LTL Shipment $150.07 $152.38 $135.31 $139.05 $128.07 $119.31 $123.28 $116.76 $121.68 $128.10 $127.63 $135.17 172.75 160 TL shipments $837.58 $1,074.23 $939.00 $649.25 $674.57 $693.92 $671.04 $697.06 $647.06 $690.91 $740.06 $735.60 1185.17 1439 NCS $160.89 $172.52 $131.58 $127.19 $111.94 $95.34 $98.88 $109.48 $104.38 $119.20 $109.37 $140.22 115.35 130 Air $848.87 $550.11 $534.62 $519.01 $594.72 $483.58 $451.56 $526.22 $742.49 $405.91 $319.82

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869

$490.89 393.8 458 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb
SCS Managed Purchase Order Volumes 8 11 5 37 67 56 39 37 70 5 5 5 3 6702 6386 7399 6386 6747 5796 6386 4933 5703 8139 6149 7822 6469 0 2,000 4,000 6,000 8,000 10,000 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan PO's Processed - Manual PO's Processed - EDI Linear (PO's Processed - EDI)
$0 $100 $200 $300 $400 $500 $600 $700 $800 $900 $1,000 Invoiced Amount19x18x18 17x16x16 19x19x18 18X18X18 Box Dimensions October 2009 Next Day Air 2nd Day Air Ground
5 3 Damage Shortage
0 2000 4000 6000 8000 10000 12000 14000 16000 18000 20000 LTL Shipment 750 815 656 697 648 560 603 575 552 608 597 649 558 583 TL shipments 5873 19380 12769 11984 13717 14855 14486 17995 12429 17845 14093 19789 14856 12573 NCS 1125 1160 757 798 653 488 502 622 540 665 524 848 601 724 Air 858 603 615 644 708 386 356 879 703 347 320 492 351 476 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb
$0 $200 $400 $600 $800 $1,000 $1,200 $1,400 $1,600 $1,800 $2,000 Invoiced AmountJan Feb Mar Apr May Jun Jul Aug Sep Oct Nov 2009 Total Spend Next Day Air 2nd Day Air Ground
0 25 50 75 100 125 150 175 200 Next Day $44.58 $36.06 $31.82 $39.94 $39.88 $28.46 $26.29 $53.44 $38.78 $26.84 $27.79 $25.01 37.5 42.66 2 Day $16.30 $20.15 $17.84 $24.85 $16.88 $15.17 $15.56 $19.14 $16.03 $36.36 $17.45 $16.09 14.81 21.62 Ground $6.60 $6.69 $6.86 $6.63 $6.62 $6.36 $6.38 $6.30 $6.44 $6.60 $6.57 $6.21 6.71 6.76 100 Weight $164.78 $70.90 $92.62 $71.15 $86.18 $82.93 $133.57 $124.17 $85.57 $97.76 $104.62 $112.65 92.33 67.56 Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb
7 11 9 10 1 15 18 8 13 12 8 13 16 10 5 8 3 8 2 5 6 6 6 6 5 4 2 9 4 23 3 24 13 5 0 0 1 1 0 0 0 0 0 0 0 0 0 1 2 1 0 99.90% 99.70% 98.46% 99.56% 99.50% 99.71% 99.66% 99.78% 99.71% 99.81% 99.68% 99.74% 99.75% 99.66% 99.70% 99.67% 99.89% 0 5 10 15 20 25 30 Oct Nov Dec Jan Feb Mar Apr May Jun Jul Aug Sep Oct Nov Dec Jan Feb 0.97 0.975 0.98 0.985 0.99 0.995 1 LTL UPS Ground UPS Next Day % effective Line 5

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UPS | UPS_PPT_template_print_033103

Actavis
Transportation Review

Feb 2010

Agenda

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869

Organization Chart
Overall TES Summary
Plan of Action
Overall Purchase Orders
Visibility & Reporting
UPS small package
Freight shipments
Audit Savings
Claims
Summary

Transportation – Organizational Chart
Jared Ragains
Transportation Manager
Rich Beckmann
Manager
Sanita Sledge
Supervisor
John Kurzenberger
Finance Coordinator
Terry McCardell
Dispatch Coordinator
Kelly Woods
Transportation Coordinator

Barbara Schindler
Sr Administrator

Igor Gnativ
Data Coordinator
TES Overall Performance Review
Good
Not applicable
Communication
Good
Not applicable
Reporting
Good
Good
Courier shipments
Good
Good
Air Freight
Good
Good
Truckload
Good
Good
Less Than Truckload
Good
Good
UPS small package
Performance
Financial Health
Area
Good
Needs Improvement
Failing

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869

Plan Of Action

Updated TL Pricing (Inbound)
Monitoring LTL & TL Carriers
Review LTL carriers in pricing
Outbound TL to Reefer Carriers
Provided TL pricing
Handling TL for McKesson (Memphis) and Cardinal (Groveport)
Changed one customers carrier to ABF
Winter carrier pricing to protect product from freezing

In Progress
Successfully Completed
Operational Statistics
Operational Statistics

SCS-Managed Accounts – UPS Small Package

Louisville, KY
4E1A34

Newark, DE
4F849A

YOY Operational Statistics
Comments and actions- volume

Volume variable to no major swings
Average weight per shipment fairly stable
Reduced air shipments
Higher # of TL orders for McKesson , Cardinal and Lincolnton

Average Cost per Pound On FRT Shipments
Average Cost per Pound Small Package
Average Weight Small Package Shipments
Average Weight FRT Shipments
Freight per Pound By Carrier for Month of FEB

ABF	. 611	(Peytons, Amer sales)
Conway	. 268	
Dayton	. 340	
NCS	. 179	
Pegasus	. 102	
UPS services	. 456	
Road/yellow	1.50 (2 Shipments)	
FFE Trans	. 427	
R&L Carrier	.726	

Average Cost Per Small Package Shipment
Average Cost Per FRT Shipment
Comments and actions- cost

UPS price increase for 2010 for discussion
LTL cost is stable at .21 per lb
Protect from freezing carrier @.31 lb until March 2010

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869

2010 LTL rate discussion
LTL world for 2010

Carrier New Goals 2010

Dayton FRT
On-time Service - our most important customer measurement. As a Co., we've had 16 consecutive months above 98%....new record for us.
DBE (Deliveries Before Exception) - an internal measurement that tracks ratio of shipments delivered without an exception (short, over ,damaged, etc). We continue to improve as a Co. on this goal.
On-board integration - in 2010, we will implement on-board computers in all DFL tractors. Will allow us to communicate pickup info. electronically to drivers and track productivity/location statuses at all times.
Pickup Planner - new software program that displays territory pickups on flat screen monitor, instead of dispatch board. Has mapping functions and coordinates with Inbound shipment data to coordinate efficient movement of drivers in our area.
Inbound Planning - new software that coordinates effective delivery routes by consignee zip codes
Sales - forming long-lasting, mutually beneficial relationships with customers in a carrier environment seeing more industry consolidation
Con-Way FRT
Reducing damages and claims
Working on improving the training of our employees
Going to introduce hand held to improve service
Reduce miss loading of shipments during 2010.

Key Measurement – Transportation Costs
Key Measurement – Transportation Costs
Key Measurement – Transportation Costs
Key Measurement – Transportation Costs
UPS small package Shipping Charge Corrections
Shipping Charge Corrections Applied
U.S. Retail Diesel Prices - 2 1/2 yearsWhat We Pay For In A Gallon Of Diesel (January 2010) Retail Price: $2.85/gallonU.S. Department of Energy
Weekly On-Highway Diesel Prices
Operational Statistics - Damages or Shortages

Industry avg. = 98.5% – 99.0%

81035969
Operational Statistics - Damages or Shortages

81035969
Damages/Shortages Performance for Feb by (LTL) Carrier
Key Measurement – LTL On Time Delivery
Industry Avg.
National LTL-95%
Regional LTL-97%
Key Measurement – On Time Delivery by Quarter
Perfect Load LTL & Small Package -
Total Shipments:10,619
Total Exceptions:434
DPE:24.47
Effective 99%
Operational Statistics
Total YTD 2009
$61,295.01
FFE Security
On site lead driver, first person on site and last to leave. Speaks with every driver picking up that day. Verifies correct Driver Name, Tractor number and double check that driver has enough hours of service and fuel to drive direct to Chicago nonstop.
Drivers are required to not stop in route from your security gate to our security guard and secured, fenced and camera surveillance yard.

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869

Lead driver has full complement of locks and load bars. Load bars to secure rear pallet. Locks that he only places on any door as the trailer is sealed. Drivers do not have ability to open the lock. Combination lock that our management holds combination to.
Drivers are required to run in groups of 2 minimum. If 3 loads all 3 run together, If 4 it could be 2 and 2 and so on.
Drivers communicate on departure so we have known depart and estimated arrival.
Trucks have satellite GPS which is monitored by overnight staffing and formally reported every hour. Any anomaly gets communicated directly to corporate security and operations management.
Lead driver is last to depart Louisville, any complication with equipment in route would be in his path and called in.
FFE Security

On arrival at Chicago (Bridgeview) IL yard, driver is greeted by our security (24/7).
Our security guard checks seals, locks and equipment numbers against scheduled arrival and details. Details documented on UPS / Actavis Inbound Log.
Our security guard checks set and actual temperature on refrigeration unit, set at 50 degrees from Louisville to Chicago. Details documented on Log.
Drivers are next directed to back in to dock doors (doors still sealed and locked).
Dock doors are both on security cameras and in plain view from guard shack.
Guard does hourly check of temperatures set and actual box and documents. Details documented on Log.
First shift supervisor (6am start shift) reviews seals, locks, unit # and temps and signs log verifying.
Summary
Bill Audit & Payment YTD - $58,643.33

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CONFIDENTIAL UNPUBLISHED PROPERTY OF UPS SUPPLY CHAIN SOLUTIONS. USE AND DISTRIBUTION LIMITED SOLELY TO AUTHORIZED PERSONNEL. The use, disclosure, reproduction, modification, transfer, or transmittal of this work for any purpose in any form or by any means without written permission of United Parcel Service and
UPS Supply Chain Solutions is strictly prohibited.
Thank you for your business and this opportunity!

When reviewing with customer keep in mind that the counts include all facilities for that customer on the Cognos Report.

Update data according to account performance. Transportation CAPA to be completed for any/all areas of significant issues/concerns. Check Issues database as well for additional supporting data.
Audit savings to be separated between Freight and UPS small package. Update YTD savings in text boxes at top of this slide.
Adjust scale for visual clarity as needed. Update figures accordingly. Also, investigate and make notes on findings concerning any significant changes.

Update with all LTL carriers used for the reported client. Update numbers accordingly.

Adjust scale & font point size for visual clarity as needed. Update figures accordingly. Also, investigate and make notes on findings concerning any significant changes.

Adjust scale and font point size for visual clarity as needed. Update figures accordingly. Also, investigate and make notes on findings concerning any significant changes. Can also insert an Excel file with the backup data (be sure to exclude any information that should remain confidential). This is a good example of a needed explanation : No Air Freight shipment invoices processed January through April.

List Performance numbers for all LTL Carriers. Contact the carrier ASAP if not receiving the reports. Change Month in slide title for the reported information.
Be sure to mention or input the secondary coordinator.
Change scale as needed for volume and range.
Make note somewhere who is to receive UPS small package invoice details report along with contact information. Account SOP should also have this information.
Adjust scale for visual clarity as needed. Update figures accordingly. Also, investigate and make notes on findings concerning any significant changes.

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869

These number represent lines not orders.

Box Size 1 = 00019x00018x00018
Box Size 2 = 00017x00016x00016
Box Size 3 = 00019x00019x00018
Change scale as needed for volume and range.
Change scale as needed for volume and range.
Change scale as needed for volume and range.
Change scale as needed for volume and range.
Change scale as needed for volume and range.
Change scale as needed for volume and range.

Source: https://www.industrydocuments.ucsf.edu/docs/mhcd0869